

Multiple Choice

1. **Answer:** D

Options: A) Due to the availability of advanced agricultural technology; B) Due to government subsidies; C) Due to increasing demand for agricultural products; D) Due to decreasing costs (increasing returns to scale)

Note: The correct answer is based on the concept of increasing returns to scale, which suggests that as the United States specializes in agricultural production, it can achieve lower average costs per unit due to efficiencies gained from larger-scale operations, making it more efficient despite its comparative disadvantage.

2. **Answer:** A

Options: A) Gold, silver, bronze; B) Cryptocurrencies, gift cards, electronic transfers; C) Paper money, barter systems, digital wallets; D) Bonds, stocks, commodities; E) Digital currencies, credit cards, mobile payments

Note: Gold, silver, and bronze have historically been used as forms of money due to their intrinsic value, durability, and acceptance as mediums of exchange in various economies.

3. **Answer:** E

Options: A) an increase in private sector investment.; B) expansionary monetary policy.; C) a strengthening dollar.; D) fiscal policy designed to reduce the budget deficit.; E) contractionary monetary policy.

Note: Contractionary monetary policy typically leads to higher interest rates, which reduce the attractiveness of existing Treasury bonds, causing their prices to fall.

4. **Answer:** E

Options: A) $k \times T$; B) $T \times k$; C) $T \times k \times 1$; D) $T \times T$; E) 1×1

Note: The expression $\hat{u}^t \hat{u}$ represents the dot product of a vector $\hat{u}$ with itself, resulting in a scalar value, which is dimensionally represented as 1×1 .

5. **Answer:** E

Options: A) A wage payment lower than the average revenue product of labor.; B) Employment level lower than that of a competitive labor market.; C) A single buyer of labor services.; D) Employment level greater than that of a competitive labor market.; E) A wage payment lower than the marginal revenue product of labor.

Note: A monopsonist pays lower wages than the marginal revenue product of labor because they are the sole employer in the labor market and can exert market power to set wages below the competitive equilibrium level.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: A decrease in the price of orange juice makes it more affordable for consumers, increasing the quantity demanded, which can lead to a rightward shift in the demand curve as consumers substitute orange juice for other beverages.

7. **Answer:** False

Options: A) True; B) False

Note: The statement is false because the measure of a firm's market power is actually represented by the Lerner Index, which is calculated as $(P - MC)/P$, indicating that greater market power corresponds to a higher value, not the formula presented.

8. **Answer:** False

Options: A) True; B) False

Note: Increased demand for dollars, coupled with decreased supply, typically leads to an appreciation of the dollar's value rather than a depreciation, as the higher demand relative to supply increases its price.

9. **Answer:** False

Options: A) True; B) False

Note: A decrease in the number of firms in a market typically reduces the overall demand for labor, leading to a leftward shift of the labor demand curve rather than a rightward shift.

10. **Answer:** True

Options: A) True; B) False

Note: In the long run, the presence of free entry and exit in monopolistic competition ensures that any short-run economic profits attract new firms to the market, increasing competition and driving profits down to zero.

Long Form Response

11. **Answer:** The turnover tax played a significant role in the Soviet economy by influencing consumer demand and overall economic activity. This tax, levied on the gross revenue of businesses, was designed to increase the demand for goods by encouraging production and consumption. By imposing this tax, the government aimed to stimulate economic activity, as businesses would be incentivized to produce more goods to meet consumer needs, thus generating higher sales volumes despite the tax burden. However, the effectiveness of the turnover tax often varied, as it could also lead to increased prices, potentially dampening consumer demand. Ultimately, while the turnover tax was intended to boost economic activity, its impact was complex and could result in unintended consequences within the centrally planned economy.

Note: correct because it accurately describes how the turnover tax incentivized businesses to increase production and sales in the Soviet economy, thereby stimulating consumer demand and overall economic activity despite the burden of taxation.

12. **Answer:** A perfectly competitive firm decides to shut down operations when the market price falls below its average variable cost (AVC) in the short run. In this situation, the firm is unable to cover its variable costs, leading to greater losses than if it were to cease production altogether. Additionally, if the price is less than the minimum average total cost (ATC), the firm will not be able to sustain its operations in the long run, as it will not earn sufficient revenue to cover its total costs. Thus, the relationship between price and average total cost is crucial; when price exceeds maximum average total cost, the firm can operate profitably, but if it cannot, the firm should consider shutting down to minimize losses.

Note: correct because it accurately identifies that a perfectly competitive firm will shut down in the short run when the market price is below the average variable cost, as this indicates that the firm cannot cover its variable costs, while in the long run, if the price is below the minimum average total cost, the firm cannot sustain operations due to insufficient revenue to cover all costs.